

Interview Feedback

Brew & Bean Profitability · 2026-10-03 · Overall: strong

Top improvement

Open with a tailored structure rather than a generic one. Restate the objective (restore the 18 lost margin points), then set out 3–4 case-specific buckets: price vs. peers and pricing power, volume, COGS by input, and labor/overhead. Then say how each bucket feeds the final reprice-or-restructure decision. This replaces the fixed-vs-variable template and puts pricing power on the table from the first minute.

Rubric Scores

Problem Structuring

adequate

What went well

The candidate anchored the framework in the profit equation and stated an early, data-driven hypothesis about where the problem sits.

“Profit = Revenue - Costs, and since revenue is up 15% with no footprint change, the problem is almost certainly on the cost side”

When pressed, the candidate prioritized the cost branch with clear reasoning tied to the magnitude of the margin swing.

“I’d go cost side first, specifically the largest cost lines by share of revenue.”

What needs work

The objective (find the root cause and reverse the decline) was never restated, and the structure was not tied to the eventual decision, such as whether to reprice or restructure costs.

“Okay. Profit = Revenue - Costs”

The fixed-versus-variable cost split is a generic template that splits labor across both buckets, and the framework left out competitive context and pricing power.

“Fixed: rent, base labor, utilities, corporate overhead, D&A. Variable: coffee beans, milk, cups and packaging, hourly labor tied to volume, payment processing, delivery commissions.”

Missed opportunities

Turn 7, when the candidate first laid out the structure after three scoping questions.

A great answer: “Our goal is to find why margin fell 18 points on 15% growth and decide how to restore it. I’d look at three areas: (1) price and volume, meaning whether menu prices kept pace with costs and what our pricing power is versus peers; (2) cost lines as a share of revenue, split into COGS by input, labor, and overhead; and (3) market context, meaning whether competitors face the same inflation. I’d start with COGS because a swing this large on growing revenue almost has to sit there.”

Quantitative & Analytical Rigor

strong

What went well

The candidate set up an indexed 100-to-115 model and derived the cost growth step by step, correctly basing the 6% margin on the new revenue.

“Say revenue was 100 going to 115; profit went from 24 to about 6.9. So costs went from 76 to roughly 108 — that’s over 40% cost growth against 15% revenue growth.”

“since the 6% is a margin on current revenue, not on the old base. So costs are 115 - 6.9 = 108.1, versus 76 before.”

The candidate sanity-checked the diagnosis by rebuilding COGS from volume and input inflation and reconciling it to the observed figure, but applied 40% inflation to all of COGS even though the other inputs rose 37.5%; using the 37.5–40% range would have bracketed 66.7 more precisely.

“So 42×1.15 (volume) $\times 1.40$ (input inflation) = 67.6 — essentially the 66.7 we see.”

“ 42×1.15 (volume) $\times 1.40$ (input inflation) = 67.6”

The candidate sized the price lever from the revenue base and turned the result into a phased recommendation, but overstated its impact: a 10% increase lifts margin from 6% to about 14.6%, recovering roughly 8.6 of the 18 lost points (about 48%), not ‘more than half the gap.’

“To restore a 24% margin on today’s cost base you’d need revenue of 451/0.76 = \$593M — a 23% price increase.”

“A 10% increase takes revenue to about \$528M against \$451M of cost, roughly a 14-15% margin”

“recovering more than half the gap in one step”

Missed opportunities

Turn 19, when sizing the effect of the 10% price increase.

A great answer: "A 10% increase lifts margin to about 14.6%, recovering roughly 8.6 of the 18 lost points, just under half. The second move needs to close the remaining ~9 points through pricing plus procurement savings."

Data & Exhibit Interpretation

strong

What went well

The candidate read every cost line as a share of revenue and isolated COGS as the driver of 16 of the 18 lost points, but declared the diagnosis complete before accounting for the remaining 2-point overhead rise, which was set aside until the interviewer prompted it.

"COGS up 16 points of revenue, labor flat, overhead up 2. So roughly 16 of the 18 points of lost margin are COGS."

"That's the whole case."

The candidate immediately asked what sits inside the COGS ratio, distinguishing unit-cost inflation from other causes.

"did Brew & Bean's price per pound of coffee and per gallon of milk actually go up, or is the ratio moving because something else changed?"

The candidate translated the data into a clear implication covering all inputs, not just beans.

"The entire story is input inflation that was never passed through to the menu."

Missed opportunities

Turn 11, after reading the cost structure.

A great answer: "COGS explains 16 of the 18 points. The other 2 are overhead, which I'll flag to check later for one-time versus structural causes. Labor is flat as a ratio, so it scaled with volume."

Business Judgment & Insight

adequate

What went well

The phased, selectively weighted price increase with an elasticity read before a second move is practical and commercially sound.

"So: 8-10% now, weighted toward espresso and food where value perception is less price-sensitive, then a second move after reading elasticity."

The candidate surfaced the volume-response risk and mitigated it with a store pilot.

"Risks: no competitor or elasticity data, so volume response is unknown."

"a pilot increase in 20 stores"

What needs work

Proposing a mix shift toward food as a hedge ignores the case data showing food inputs rose 37.5% alongside dairy and packaging.

"food and merchandise aren't exposed to coffee inflation"

The final procurement lever narrowed to beans, even though the candidate knew dairy, packaging, and food were up 37.5%. Locking forward contracts at elevated prices also carries a risk that went unmentioned.

"Simultaneously lock bean pricing through forward contracts so the next cycle doesn't repeat."

Missed opportunities

Turn 19, when describing procurement reform.

A great answer: "Procurement has to cover all inputs. Beans are only part of COGS, and dairy, packaging, and food rose almost as much. I'd consolidate purchasing across 200 stores for dairy and packaging and ladder bean contracts so we don't lock in at the peak."

Creativity & Brainstorming

adequate

What went well

Several less obvious ideas appeared, including channel expansion and redesigning product specs to cut input cost.

"Catering and office accounts."

"cup sizing, lighter-weight packaging, and renegotiating dairy are all actionable without touching the customer experience."

What needs work

The candidate opened the cost brainstorm with an explicit bucketed structure and concrete sub-ideas, though the third bucket overlapped with the first (renegotiating dairy is procurement) and the revenue ideas came as an unstructured list.

"Three, packaging and dairy specifically."

"Revenue side beyond menu prices: raise average ticket through attachment"

"Beyond price, three cost-side levers:"

The ideas were never ranked by impact or feasibility within the brainstorm.

| *"Loyalty programs and subscriptions to lift frequency. Selling whole beans and merchandise at retail margins."*

Missed opportunities

Turn 17, after listing revenue-side ideas.

| A great answer: "Of these, I'd prioritize attachment and premium add-ons first because they lift ticket at existing traffic with near-zero investment. Loyalty and B2B catering come second because they take longer to build."

Synthesis & Recommendation

strong

What went well

The candidate led with a clear, committed recommendation and the core reason behind it.

| *"My recommendation: Brew & Bean must pass input inflation through to the menu, phased, and pair it with procurement reform."*

The candidate named the key risk and concrete next steps, including the overhead audit flagged earlier.

| *"Risks: no competitor or elasticity data, so volume response is unknown."*

| *"Next steps: competitor price benchmarking, a pilot increase in 20 stores, and an audit of the overhead line."*

What needs work

The procurement half of the recommendation shrank to beans only, dropping the dairy and packaging levers the candidate had raised earlier.

| *"Simultaneously lock bean pricing through forward contracts so the next cycle doesn't repeat."*

Missed opportunities

Turn 19, when closing the recommendation.

| A great answer: "Pair the price move with procurement across all inputs: bean contracts plus renegotiated dairy and packaging. Together these can close the remaining gap that pricing alone won't."

Communication & Delivery

strong

What went well

The candidate was consistently signposted, announcing the number of buckets before detailing each.

| *"Beyond price, three cost-side levers:"*

| *"Where cost thinking is incomplete: I've focused on COGS and skipped the 2-point overhead rise"*

The candidate used hypothesis-driven phrasing from the start.

| *"the problem is almost certainly on the cost side — but I'll verify revenue quality first."*

What needs work

The first answer stated 6.9 without showing that it was 6% of 115, which forced the interviewer to probe the arithmetic.

| *"profit went from 24 to about 6.9"*

Missed opportunities

Turn 9, when introducing the indexed math.

| A great answer: "Index revenue at 100 going to 115. Profit is 24% of 100, which is 24, versus 6% of 115, which is 6.9. So costs went from 76 to 108, about 42% growth."

Pushback, Composure & Case Leadership

strong

What went well

When the arithmetic was challenged, the candidate held the position and explained exactly why it was right.

| “Yes — profit of 6.9 is just 6% of the new revenue base of 115, since the 6% is a margin on current revenue, not on the old base.”

Asked where the analysis was incomplete, the candidate candidly named its gaps and carried the overhead point into the final next steps.

| “I’ve focused on COGS and skipped the 2-point overhead rise”

| “an audit of the overhead line”

The candidate drove the case forward by requesting relevant data and offering to synthesize.

| “Want me to pull it together into a recommendation?”

Missed opportunities

Turn 11, when the interviewer challenged the 6.9 profit figure.

| A great answer: “Good check. The 6% is on the new base of 115, so profit is 6.9 and costs are 108.1, up 42%. That confirms costs grew nearly three times faster than revenue, so let's go straight to which line moved.”

Model Answer

Structure

Strong structure disaggregates profit = revenue – costs, then breaks revenue into volume × price and costs into COGS / labor / overhead / other. The candidate should hypothesize which bucket is the driver before asking for data. Bonus: asks about competitive context (are peers also seeing this?) and pricing power.

Recommendation

Primary recommendation: raise menu prices, which have not changed in two years while input costs rose about 38% — selectively, by 8–12% on high-margin specialty SKUs where demand is less elastic. Pair it with procurement across all inputs, not just beans: multi-year bean supply contracts plus renegotiated dairy and packaging supply, since beans explain only about a quarter of the COGS increase. Secondary: pilot a lower-cost 'commodity blend' for budget-conscious locations. Do not recommend blanket cost cuts — labor and overhead are already lean.

Full Transcript

Interviewer · 0:00

Your client is Brew & Bean, a specialty coffee chain with 200 locations across the US. Over the past two years, their net profit margin has declined from 24% to 6%, even though revenues have grown 15% over the same period. The CEO has hired us to identify the root cause of this profit decline and recommend how to reverse it. How would you approach this problem?

Take a moment, then walk me through how you'd approach this.

Candidate · 0:46

Before I lay out a structure, I want to make sure I understand the situation.

First question: when you say the net margin fell from 24% to 6%, is that decline fairly even across the two years and across the chain, or is it concentrated — say, in a particular year, region, or subset of stores?

Interviewer · 0:47

That's not in the information I have. The decline is reported at the chain level, so treat it as chain-wide for now.

What other scoping questions do you have?

Candidate · 1:23

Understood — I'll treat it as chain-wide and uniform.

Second question: has the store footprint changed over the two years? Specifically, is the 15% revenue growth coming mostly from new locations opening, or from same-store sales growth at the existing 200?

Interviewer · 1:25

The store count is a data point I can give you. 200 stores today — and it was 200 stores two years ago, so the footprint hasn't changed. On the data you asked for — I'll come to that shortly.

Candidate · 2:25

Good — so the 15% growth is entirely same-store, which means this is an operating issue at existing locations rather than an expansion-cost story.

Third question: has the client's business model or offering changed over that period? For example, have they added new product lines like food or delivery, changed their channel mix, or shifted to a new supplier or store format? That would tell me whether to look at a mix shift versus pure cost inflation.

Interviewer · 2:27

That's not in the information I have on any changes to the offering, channels, suppliers, or store format. Take a minute if you need it, then walk me through how you'd structure the problem.

Candidate · 4:10

Okay. Profit = Revenue - Costs, and since revenue is up 15% with no footprint change, the problem is almost certainly on the cost side — but I'll verify revenue quality first.

On revenue, I'd break it into transactions × average ticket. A 15% revenue rise could be price-driven or volume-driven, and that matters: if volume is up a lot, variable costs scale; if price is up, margin should have improved, not collapsed.

On costs, I'd split fixed versus variable. Fixed: rent, base labor, utilities, corporate overhead, D&A. Variable: coffee beans, milk, cups and packaging, hourly labor tied to volume, payment processing, delivery commissions.

Then I'd size which line grew fastest as a percent of revenue — a margin falling 18 points on growing revenue means a very large cost line moved.

Do we have a cost breakdown as a percent of revenue for both years?

Interviewer · 4:12

You have a structure on the table, so one pressure test. On the data you asked for — I'll come to that shortly. Which branch would you prioritize first, and why?

Candidate · 5:42

I'd go cost side first, specifically the largest cost lines by share of revenue.

Reasoning: revenue grew 15% with a flat footprint, so top-line isn't the problem in any obvious sense — you don't usually lose 18 points of margin while growing. And the magnitude matters. If revenue is up 15% and margin fell from 24% to 6%, total costs grew far faster than revenue. Say revenue was 100 going to 115; profit went from 24 to about 6.9. So costs went from 76 to roughly 108 — that's over 40% cost growth against 15% revenue growth.

A swing that big has to sit in one or two big lines, most likely COGS (beans, milk, packaging) or labor, since those are typically the two largest in coffee retail. I'd start by ranking cost lines as a percent of revenue in both years and find the biggest mover.

Interviewer · 5:44

Okay. On what you asked for: COGS is 58% of revenue today, up from 42% two years ago. Labor is 22% of revenue, and it's been stable. On the data you asked for — I'll come to that shortly. Before we wrap, on what you asked about earlier: Overhead is 14% of revenue, up slightly from 12%. Average revenue per store is \$2.4M a year. Check the arithmetic against the 100-to-115 setup: costs going from 76 to roughly 108 is the claim, so how did you get 6.9 for profit, and what is the cost growth?

Candidate · 7:16

Yes — profit of 6.9 is just 6% of the new revenue base of 115, since the 6% is a margin on current revenue, not on the old base. So costs are $115 - 6.9 = 108.1$, versus 76 before. That's $32.1 / 76 \approx 42\%$ cost growth against 15% revenue growth.

And the exhibit confirms where it sits: COGS up 16 points of revenue, labor flat, overhead up 2. So roughly 16 of the 18 points of lost margin are COGS. That's the whole case.

Before I dig into COGS, a scoping question: is that 58% figure a cost ratio only, or do we know whether unit input costs rose? In other words, did Brew & Bean's price per pound of coffee and per gallon of milk actually go up, or is the ratio moving because something else changed?

Interviewer · 7:19

I'll give you the input cost data and the pricing data together, since the ratio depends on both. Raw coffee bean costs are up 40% over the past two years. Other input costs — dairy, packaging, and food — are up 37.5% over the past two years. Menu prices have not changed in two years.

Candidate · 8:42

That reconciles cleanly. Old COGS = $42\% \times 100 = 42$. New COGS = $58\% \times 115 = 66.7$, so COGS grew 59%. Since prices are flat, all 15% of revenue growth is volume. So 42×1.15 (volume) $\times 1.40$ (input inflation) = 67.6 — essentially the 66.7 we see. The entire story is input inflation that was never passed through to the menu.

Two more scoping questions before I recommend.

First: do we know anything about price elasticity or the competitive set — have competitors like Starbucks or local independents raised their menu prices over the same two years? That tells me how much headroom a price increase has.

Interviewer · 8:44

I don't have any information on price elasticity or on competitor pricing. What other levers beyond a price increase could the client pull to reverse this?

Candidate · 10:15

Beyond price, three cost-side levers:

One, procurement. 40% is roughly the market move in green coffee, so they may be paying spot. Options: forward contracts or hedging to lock prices, longer-term supplier agreements, consolidating volume across 200 stores for buying power, or dual-sourcing origins.

Two, product and mix. Push higher-margin items — espresso drinks use fewer beans per dollar than drip, and food and merchandise aren't exposed to coffee inflation. Also check portion control and waste; a 200-store chain often has real spoilage and over-pouring losses.

Three, packaging and dairy specifically. Those are 37.5% up too — cup sizing, lighter-weight packaging, and renegotiating dairy are all actionable without touching the customer experience.

Last scoping question before I give the recommendation: do we know the client's volume trend by daypart or product category — specifically whether traffic is growing because the flat prices are now undercutting the market?

Interviewer · 10:16

I don't have volume by daypart or product category. Where is the cost-side thinking incomplete, and what could the client do on the revenue side besides raising menu prices?

Candidate · 11:47

Where cost thinking is incomplete: I've focused on COGS and skipped the 2-point overhead rise, which on \$480M total revenue is real money — worth knowing if it's corporate headcount or something one-time. I also haven't tested whether input inflation is cyclical or structural, which changes whether you hedge or restructure sourcing. And labor at 22% being "stable" as a ratio actually means labor costs grew 15% with volume — there may be scheduling efficiency there.

Revenue side beyond menu prices: raise average ticket through attachment — food pairings, size upsell, add-ons like syrups and alternative milks, which carry premium pricing. Loyalty programs and subscriptions to lift frequency. Selling whole beans and merchandise at retail margins. Catering and office accounts. And mix shifting toward lower-bean-intensity drinks.

Want me to pull it together into a recommendation?

Interviewer · 11:49

Yes, go ahead. What's your recommendation to the CEO?

Candidate · 13:20

My recommendation: Brew & Bean must pass input inflation through to the menu, phased, and pair it with procurement reform. The margin collapse is not an operations failure — it's two years of 40% input inflation absorbed entirely by the P&L because menu prices never moved.

Sizing it: revenue is roughly \$480M across 200 stores at \$2.4M. Costs run 94% of that, about \$451M. To restore a 24% margin on today's cost base you'd need revenue of $451/0.76 \approx \$593\text{M}$ — a 23% price increase. That's too steep in one move. A 10% increase takes revenue to about \$528M against \$451M of cost, roughly a 14-15% margin — recovering more than half the gap in one step.

So: 8-10% now, weighted toward espresso and food where value perception is less price-sensitive, then a second move after reading elasticity. Simultaneously lock bean pricing through forward contracts so the next cycle doesn't repeat.

Risks: no competitor or elasticity data, so volume response is unknown. Two years of flat prices likely means they're now priced below market, which is actually headroom.

Next steps: competitor price benchmarking, a pilot increase in 20 stores, and an audit of the overhead line.

Interviewer · 13:21

That's time. Thanks for working through it — your written report will follow.